International Financial Professional Certificate



All answers of Quiz _ Fixed Income

1. A 20-year, 10% annual-pay bond has a par value of $1,000. What is the price of the bond if it has a yield-to-maturity of 15%?

A. $685.14.

B. $687.03.

C. $828.39.

1. A 20-year, 10% annual-pay bond has a par value of $1,000. What is the price of the bond if it has a yield-to-maturity of 15%?

A. $685.14.

B. $687.03.

C. $828.39.

N= 20; I/Y = 15; FV = 1,000; PMT = 100;

CPT -› PV = -$687.03.

2. A 25-year, 10% annual-pay bond has a par value of $1,000. What is the price of the bond if it has a yield-to-maturity of 12%?

A. $827.68.

B. $843.14.

C. $855.91.

2. A 25-year, 10% annual-pay bond has a par value of $1,000. What is the price of the bond if it has a yield-to-maturity of 12%?

A. $827.68.

B. $843.14.

C. $855.91.

N= 25; I/Y = 12; FV = 1,000; PMT = 100;

CPT -› PV = -$843.14.

3. A 25-year, 8% annual-pay bond has a par value of $1,000. What is the price of the bond if it has a yield-to-maturity of 6%?

A. $965.71.

B. $1017.53.

C. $1255.67.

3. A 25-year, 8% annual-pay bond has a par value of $1,000. What is the price of the bond if it has a yield-to-maturity of 6%?

A. $965.71.

B. $1017.53.

C. $1255.67.

N= 25; I/Y = 12; FV = 1,000; PMT = 80;

CPT -› PV = -$1255.67.

4. An analyst observes a 5-year, 10% semiannual-pay bond. The face amount is £1,000. The analyst believes that the yield-to-maturity on a semiannual bond basis should be 15%. Based on this yield estimate, the price of this bond would be:

A. £828.40

B. £1,189.53

C. £1,193.04

4. An analyst observes a 5-year, 10% semiannual-pay bond. The face amount is £1,000. The analyst believes that the yield-to-maturity on a semiannual bond basis should be 15%. Based on this yield estimate, the price of this bond would be:

A. £828.40

B. £1,189.53

C. £1,193.04

N = 10; I/Y = 7.5; FV = 1,000; PMT = 50;

CPT -› PV = -$828.40

5. An analyst observes a 10-year, 10% semiannual-pay bond. The face amount is £1,000. The analyst believes that the yield-to-maturity on a semiannual bond basis should be 15%. Based on this yield estimate, the price of this bond would be:

A. £628.43

B. £745.14

C. £893.58

5. An analyst observes a 10-year, 10% semiannual-pay bond. The face amount is £1,000. The analyst believes that the yield-to-maturity on a semiannual bond basis should be 15%. Based on this yield estimate, the price of this bond would be:

A. £628.43

B. £745.14

C. £893.58

N = 20; I/Y = 7.5; FV = 1,000; PMT = 50;

CPT -› PV = -$745.14

6. An analyst observes a 10-year, 10% semiannual-pay bond. The face amount is £1,000. The analyst believes that the yield-to-maturity on a semiannual bond basis should be 8%. Based on this yield estimate, the price of this bond would be:

A. £934.28

B. £1081.56

C. £1135.90

6. An analyst observes a 10-year, 10% semiannual-pay bond. The face amount is £1,000. The analyst believes that the yield-to-maturity on a semiannual bond basis should be 8%. Based on this yield estimate, the price of this bond would be:

A. £934.28

B. £1081.56

C. £1135.90

N = 20; I/Y = 4; FV = 1,000; PMT = 50;

CPT -› PV = -$1135.9

7. A $1,000, 5%, 20-year annual-pay bond has a YTM of 6.5%. If the YTM remains unchanged, how much will the bond value increase over the next three years?

A. $13.62.

B. $13.78.

C. $13.96.

7. A $1,000, 5%, 20-year annual-pay bond has a YTM of 6.5%. If the YTM remains unchanged, how much will the bond value increase over the next three years?

A. $13.62.

B. $13.78.

C. $13.96.

With 20 years to maturity, the value of the bond with an annual-pay yield of 6.5% is N= 20, PMT=50, FV = 1,000, I/Y = 6.5, CPT - PV = -834.72. With N = 17, CPT -› PV = -848.34, so the value will increase $13.62.

8. A $1,000, 5%, 20-year annual-pay bond has a YTM of 8%. If the YTM remains unchanged, how much will the bond value increase over the next three years?

A. $18.47.

B. $20.89.

C. $23.83.

8. A $1,000, 5%, 20-year annual-pay bond has a YTM of 8%. If the YTM remains unchanged, how much will the bond value increase over the next three years?

A. $18.47.

B. $20.89.

C. $23.83.

With 20 years to maturity, the value of the bond with an annual-pay yield of 8% is N= 20, PMT=50, FV = 1,000, I/Y = 8, CPT - PV = -705.46. With N = 17,

CPT -› PV = -726.35, so the value will increase $20.89.

9. A $1,000, 5%, 10-year annual-pay bond has a YTM of 8%. If the YTM remains unchanged, how much will the bond value increase over the next three years?

A. $28.89.

B. $37.83.

C. $45.11.

9. A $1,000, 5%, 10-year annual-pay bond has a YTM of 8%. If the YTM remains unchanged, how much will the bond value increase over the next three years?

A. $28.89.

B. $37.83.

C. $45.11.

With 20 years to maturity, the value of the bond with an annual-pay yield of 8% is N= 10, PMT=50, FV = 1,000, I/Y = 8, CPT - PV = -798.70.

With N = 7, CPT -› PV = -843.81, so the value will increase $45.11.

10. Based on semiannual compounding, what would the YTM be on a 15-year, zero-coupon, $1,000 par value bond that's currently trading at $331.40:

A. 3.750%.

B. 5.151%.

C. 7.500%.

10. Based on semiannual compounding, what would the YTM be on a 15-year, zero-coupon, $1,000 par value bond that's currently trading at $331.40:

A. 3.750%.

B. 5.151%.

C. 7.500%.

N= 30; FV = 1,000; PMT = 0; PV = -331.40;

CPT -› I/Y = 3.750 x 2 = 7.500%.

11. Based on semiannual compounding, what would the YTM be on a 20-year, zero-coupon, $1,000 par value bond that's currently trading at $331.40:

A. 4.750%.

B. 5.600%.

C. 6.255%.

11. Based on semiannual compounding, what would the YTM be on a 20-year, zero-coupon, $1,000 par value bond that's currently trading at $331.40:

A. 4.750%.

B. 5.600%.

C. 6.255%.

N= 40; FV = 1,000; PMT = 0; PV = -331.40;

CPT -› I/Y = 2.8 x 2 = 5.600%.

12. Based on semiannual compounding, what would the YTM be on a 20-year, zero-coupon, $1,000 par value bond that's currently trading at $546.73:

A. 3.042%.

B. 5.148%.

C. 6.282%.

12. Based on semiannual compounding, what would the YTM be on a 20-year, zero-coupon, $1,000 par value bond that's currently trading at $546.73:

A. 3.042%.

B. 5.148%.

C. 6.282%.

N= 40; FV = 1,000; PMT = 0; PV = -546.73; CPT -› I/Y = 1.521 x 2 = 3.042%.